

First, the court deems the Sorrentino Declaration as counsel's affidavit of fault. Sorrentino's explanation that they were operating under an "informal" stay due to settlement negotiations is an explanation as to why he failed to file a timely response to the SAC. [Sorrentino Decl., ¶¶ 7-9.] With attorney fault, the neglect or mistake need not be excusable. *Vaccaro v. Kaiman* (1998) 63 Cal.App.4th 761, 770 (bold added). As long as the default resulted from attorney neglect, the attorney's "affidavit of fault" compels relief from both the default and any resulting default judgment. See *Cisneros v. Vuevo* (1995) 37 Cal.App.4th 906, 909 fn. 2.

Upon a finding of an attorney affidavit of fault, relief is mandatory. Defendant has submitted a proposed answer. [Sorrentino Decl., Ex. R.] The provision for mandatory relief also requires the court to award reasonable fees and costs to the opposing party. Plaintiffs' counsel has filed a declaration describing the fees incurred. The court has reviewed this and made its award as noted above.

Second, the court exercises its equitable powers based on Defendant's and his counsel's extrinsic mistake in relying on an informal stay and representations of settlement negotiations in not filing an answer to the SAC. [Sorrentino Decl., ¶¶ 7-9; Andry Decl. (ROA #1062), ¶¶ 7-8.] Similarly, Plaintiff has shown a meritorious defense not previously presented due to reliance on the settlement negotiations – which also explain why the motion was not brought earlier. [Id., and Sorrentino Decl., Ex. R.]

Accordingly, the motion for relief from the entry of default is granted.

60	<i>The Regents of the University of California, UCI Irvine Medical Center v. Kaiser Foundation Health Plan, Inc.</i>	RULING ON MOTION #1: The general demurrers of defendant Kaiser Foundation Health Plan, Inc., to the first, second, third, and fifth causes of action in the complaint of plaintiffs The Regents of the University of California, UC Irvine Medical Center, UCI Health Fountain Valley, UCI Health Lakewood, UCI Health Los Alamitos, and UCI Health Placentia Linda are SUSTAINED with 20 days leave to amend. Plaintiffs The Regents of the University of California, UC Irvine Medical Center, UCI Health Fountain Valley, UCI Health Lakewood, UCI Health Los Alamitos, and UCI Health Placentia Linda have brought this action against defendant Kaiser Foundation Health Plan, Inc., for its alleged failure to fully reimburse them for medically necessary and physician ordered services provided to patients who were members of defendant's health plan. (See complaint, ROA 2, ¶ 26.) Their complaint contains causes of action for: (1) breach of implied-in-law contract; (2) breach of implied-in-fact contract; (3) unfair business practices; (4) quantum meruit; and (5) unjust enrichment. Defendant demurs generally to all but the fourth cause of action for quantum meruit. Plaintiffs oppose the demurrers to the second and third causes of action only. Therefore, the Court sustains the demurrers to the first and fifth causes of action with 20 days leave to amend. <u>Second cause of action for breach of implied-in-fact contract.</u> The elements of a cause of action for breach of oral contract are: (1) existence of the contract; (2) plaintiff's performance or excuse for nonperformance; (3) defendant's breach; and (4) damages to plaintiff as a result of the breach. Aton
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